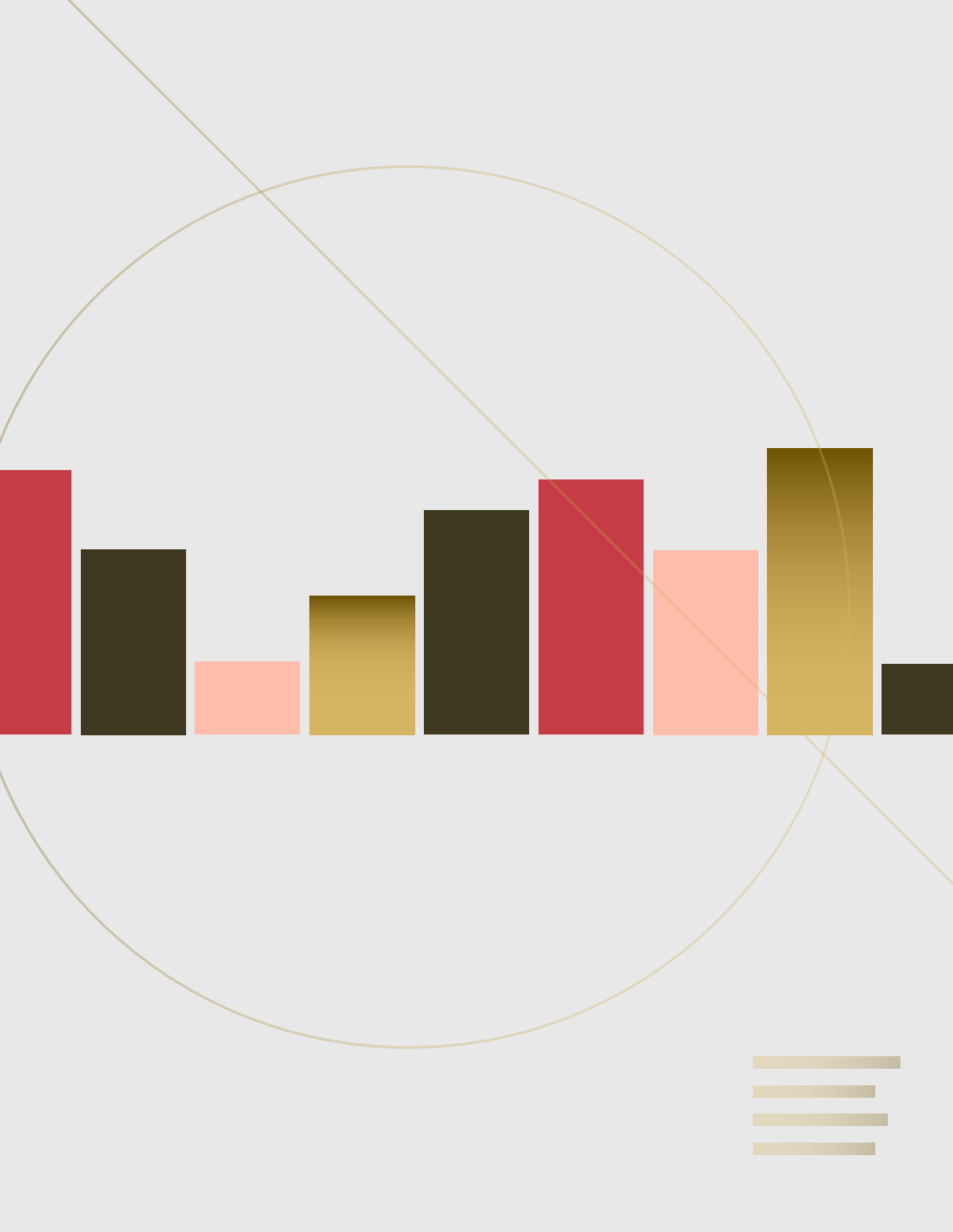




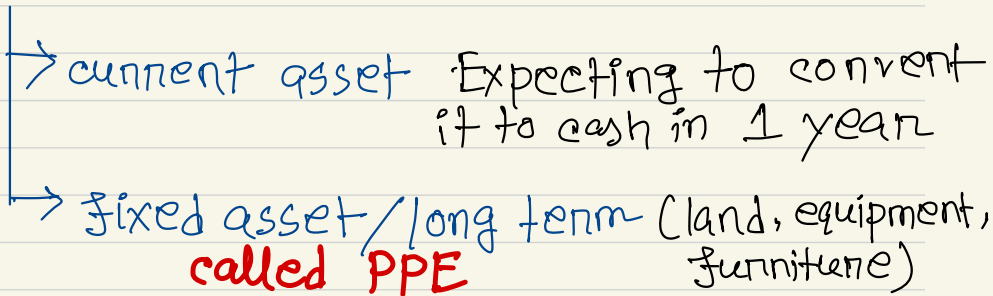
Introduction

- Language to communicate with end users (shareholders, creditors)

Asset

- Gives economic benefit in the future.
- Example: Land, Machinery, Cash

2 types



Liabilities

Current

- **Accounts Payable** → Pay with cash in future
(current liability)
- **Accounts receivable** → Receive cash in future

- Salaries Payable

Intangible asset

- Good will, good behaviors
 ↓
Brand value, loyalty

Notes payable

If the maturity date (≤ 1 year)
current liability

Long term Bonds payable

Inventory

Items left after selling

- Raw Material
- Work in progress
- Finished goods

Owners Equity

- If the owner invests in the company that is called capital
- Only 1 owner withdraws cash for personal use?

Owners drawing

- Beginning Capital
- selling stocks to public → public company limited

$$\begin{array}{rcl}
 + \text{ Investments} & & \\
 + \text{ Net income} & & \\
 - \text{ Owners drawing} & & \\
 \hline
 \text{Ending Capital} & \left. \vphantom{\begin{array}{r} + \text{ Investments} \\ + \text{ Net income} \\ - \text{ Owners drawing} \end{array}} \right\} & \text{Owners equity}
 \end{array}$$

Revenue : all the income

Sales / Service, Rent, Interest

Expenses :

Salaries, Utilities, Rent

$$\begin{array}{rcl}
 \text{Revenue} & & \\
 - \text{ Expenses} & & \\
 \hline
 \text{Net Profit / Loss} & \left. \vphantom{\begin{array}{r} \text{Revenue} \\ - \text{ Expenses} \end{array}} \right\} & \text{Income statement} \\
 \hline
 \text{Net income} & &
 \end{array}$$

Financial Statements

- i) Statement of Comprehensive income
Income Statement
- ii) Statement of Owners's equity
- iii) Statement of Financial Position
Balance sheet → *Assets, Liabilities and owners equity*
- iv) Statement of cash flow
Incoming and outgoing cash flow
- v) Notes to the financial statement
audited by accounting firm

Accounting

- The language of business or an information system that accountants use to communicate

the firm's financial and economic information to its stakeholders. The system includes

identifying the transactions, recording, classifying, summarizing, preparing financial statements

ledger

Trial balance

journal

and communicating the financial reports to the firm's external

Basic Accounting Information

$$A = L + OE$$

Assets = Liabilities + Owner's Equity

Basic Accounting equation

$$A = L + OE$$

$$\text{Assets} = \text{Liabilities} + \text{Owner's equity}$$

$$\text{Owner's capital} - \text{Owner's drawings} \\ + \text{Revenues} - \text{Expenses}$$

$$\text{Transaction No.} \quad \text{Assets} = \text{Liability} + \text{Owner's capital-drawings}$$

Accounts Payable

i) Cash + Furniture
-\$10,000 +\$10,000

ii) +\$20,000 -\$20,000

iii) +\$5,000 +\$5,000

iv) -\$5,000 +\$5,000

v)

Assets = Liabilities + Owners capital - drawings + Revenues - Expenses

Cash + Furniture	Accounts Receivable	Accounts Payable			
-\$10,000					
+\$20,000			\$20,000		
+\$5,000		+\$5,000			
-\$5,000		-\$5,000			
	\$500			\$5,000	
+\$500	-\$500				
-\$1,000				-\$1,000	
-\$2,000					-\$2,000
\$2,500	\$15,000		\$20,000	+\$500	-\$2,000

Transaction

- Tabular analysis / Transaction Analysis
- Owners equity part will be the same

Need to write the full name of expenses

C. Name

Income Statement

For the month ended September 30, 2010

Particulars	Amount \$	Amount \$
<u>Revenues</u>		
Service Revenue		4700
<u>Expenses</u>		
Salaries Expense	900	
Rent Expense	600	
Ads. Expense	250	
Utilities Expense	200	
Total Expenses		1950
Net Income		\$2750

Assets		Liabilities		Owner's Equity	
Cash + Receivable + Equipment	Note Payable + Payable	Capital + Drawings + Revs. + Expense			
+ \$11,000		+ \$11,000			
- \$800					- \$800
	+ \$3,000				
+ \$1,500					+ \$1,500
+ \$700	+ \$700				
+ \$2,000					+ \$2,000
- \$900					- \$500 - \$300 - \$100
- \$1,000				- \$1,000	
+ \$10,000 + \$2,000 + \$3,000	+ \$700 + \$3,000 + \$11,000	- \$1,000 + \$3,500 - \$1,700			
<u>+ \$15,500</u>		<u>+ \$15,500</u>			

P1-1A

P1-2A

Comprehensive

DO IT

B

P1-1A (9)

Assets = Liabilities + Owner's Equity

Transaction No	Cash +	Accounts + Receivable	Equipment	Supplies +	Accounts Payable	N. Bonnie Capital	N. Bonnie Drawings	+ Revenue - Expenses	
1	+\$10,000					\$10,000			
2	-\$5000		\$5000						
3	-\$400							\$400	
4	-\$500			\$500					
5					\$250			\$250	
6	+\$5100						\$1000	\$5100	
7	-\$1000								
8	-\$2000							\$2000	
9	-\$140							\$140	
10		\$750						\$750	
11	+\$120	-\$120							
	<u>\$6180</u>	<u>\$690</u>	<u>\$5000</u>	<u>\$500</u>	<u>\$250</u>	<u>\$10,000</u>	<u>\$1000</u>	<u>\$5850</u>	<u>-\$2790</u>
		\$12,310							\$12,310

(b)

Nancy Bonne

Income Statement

for the month ended in June 1, 2010

Particulars	Amount \$	Amount \$
<u>Revenues</u>		
Repair Service	5100	
Repair Service	750	
Net Revenue		5850
<u>Expenses</u>		
Office Rent	400	
Advertising Cost	250	
Part-time employee salary	2000	
utility bills	140	
Total expenses		2790
NET INCOME		3060

P2-2A (a)

Assets = Liabilities + Owners' Equity

Transaction No.	Cash + Receivable	Supplies	Equipment	Notes Payable	Accounts Payable	M. Gonzalez Capital	M. Gonzalez Drawings	Revenue	Expenses
1	\$9000	\$600	\$6000		\$3600	\$13,700			
2	-\$2900				-\$2900				
3	+\$1300								
4	\$800		\$2100		+\$1300				
5	+\$2500							\$8000	
6	-\$1000						+\$1000		
7	-\$2900								+\$1700
									\$900
									\$300
8					\$170				\$170
9	+\$10,000			\$10,000					
	<u>\$15,200</u>	<u>\$600</u>	<u>\$8100</u>	<u>\$10,000</u>	<u>\$2170</u>	<u>\$13,700</u>	<u>-\$1000</u>	<u>\$8000</u>	<u>-\$3070</u>
	\$29800					\$29800			

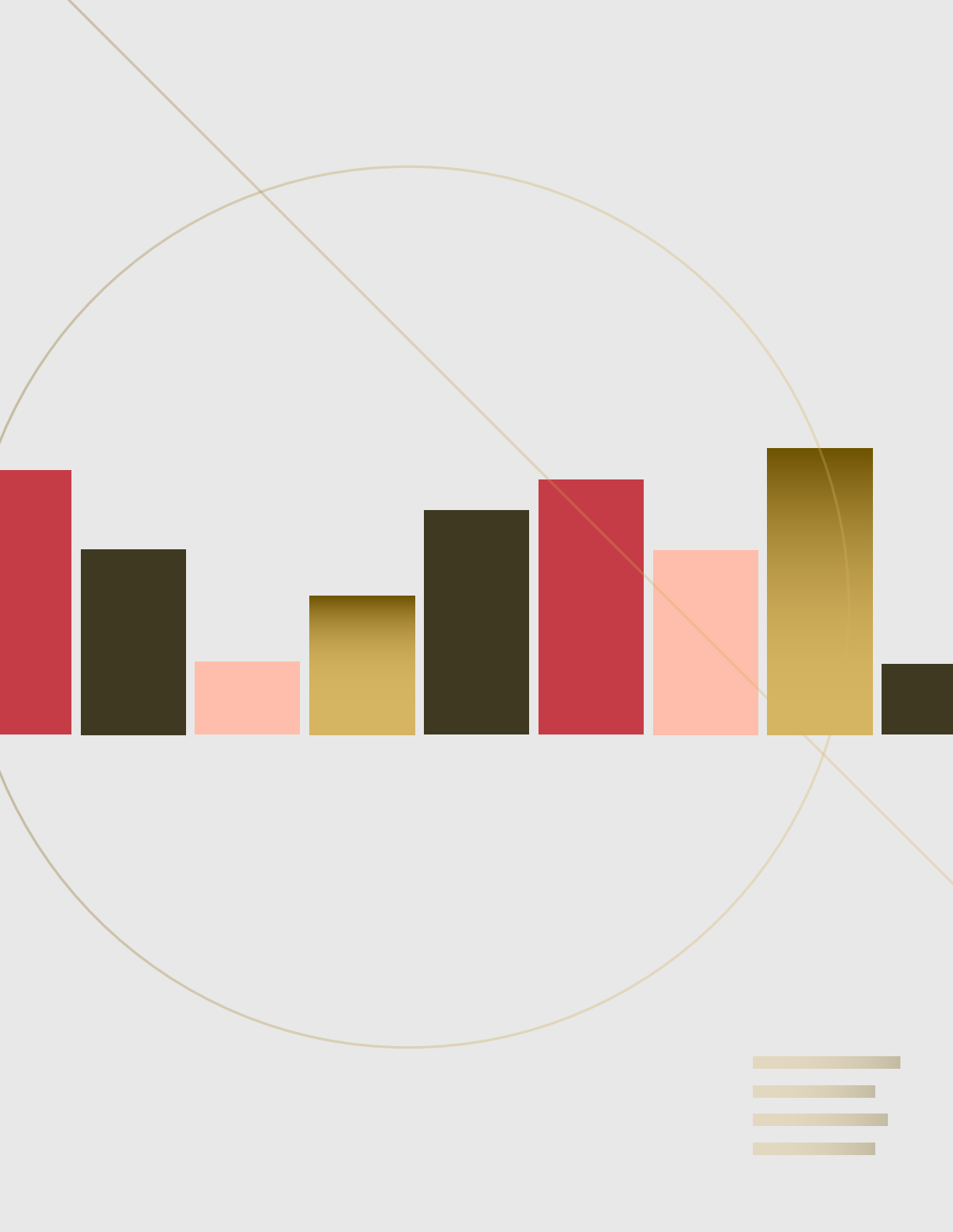
(b)

Maria Gonzalez
Income Statement
for the month ended in September 1, 2010

Particulars	Amount \$	Amount \$
<u>Revenues</u>		
Service revenue	8000	
Net revenue		<u>8000</u>
<u>Expenses</u>		
Rent expense	900	
Salaries expense	1700	
Advertising expense	300	
Utilities expense	170	
Total expenses		<u>3070</u>
NET INCOME		4930

Maria Gonzalez Balance Sheet September 30

	Payment \$	Amount \$
<u>Assets</u>		
Cash	15,200	
Accounts Receivable	5900	
Supplies	600	
Equipments	8100	
Total Assets		<u>29800</u>
Liabilities and owners Equity		
<u>Liabilities</u>		
Notes Payable	10,000	
Accounts Payable	2170	
Total Liabilities		<u>12170</u>
<u>Owner's Equity</u>		
M.Gonzalez Capital		<u>17630</u>
Total Liabilites and Owner's Equity		<u>29800</u>



JOAN ROBINSON ATTORNEY

Statement of Owner's Equity

For the month ended July 31, 2010

Particulars	Amount \$	Amount \$
J. Robinson, Capital, July 1		
<u>Add:</u> Investments	11,000	
Net Income	1800	12800
<u>Less:</u>		
J. Robinson, Drawings		(1000)
J. Robinson, Capital, July 31		<u><u>\$11,800</u></u>

JOAN ROBINSON, ATTORNEY

Balance Sheet

July 31, 2010

Owners drawings → \$1500

SKYLINE FLYING SCHOOL INCOME Statement

For the month ended May 31, 2010

Particulars	Amount \$	Amount \$
<u>Revenues</u>		
Lesson Revenue		7500
<u>Expenses</u>		
Rent expense	1200	
Repair expense	400	
Advertising expense	500	
Fuel expense	2500	
Insurance expense	400	
Total expenses		5000
NET INCOME		<u>2500</u>

SKYLINE FLYING SCHOOL

Statement of owners Equity

for the month ended May 31, 2010

Particulars	Amount \$	Amount \$
John Wilkins Capital May 1		0
<u>Add:</u> Investments	45000	
Net Income	2500	47,500
<u>Less:</u>		
John Wilkins Drawings		(1500)
John Wilkins Capital, May 31		<u><u>46000</u></u>

$$a) 45,000$$

$$b) 115,000 \quad 130,000$$

$$c) \text{ Ending capital} = \text{beginning capital} + \text{Investments} + \text{Net Income} - \text{Drawings (4000)}$$

$$\Rightarrow 60,000 = 45,000 + I + 30,000 - 25,000$$

$$\Rightarrow I = 10,000$$

$$f) 62,000 = 60,000 + 15,000 + 35,000 - I$$

$$\Rightarrow I = 48,000$$

$$i) 130,000 = 45,000 + 10,000 +$$

$$l) 170,000 = 90,000 + 15,000 + 520,000 - X - 20,000$$

$$\Rightarrow X = 435,000$$

P1-2B

P1-5B

Assets

= Liabilities + Owner's Equity

Transaction No	Cash +	Accounts Receivable	Supplies + Equipment	Notes Payable	Accounts Payable	J-Brown Capital	J-Brown Drawings	Revenue	Expenses
0	+\$5000	\$1500	\$500		\$4200	\$8800			
1	+\$1200	-\$1200							
2	-\$2800				-\$2800				
3	+\$3000	+\$5000						\$8000	
4	-\$400				+\$1600				
5	-\$3800								\$2500 \$900 \$400
6	-\$700						\$700		
7	+\$1500			+\$1500					
8					+\$220				\$220

\$3000 \$5300 \$500 \$8000 \$1500 \$3220 \$8800 -\$700 \$8000 -\$4020

\$16,800

\$16,800

Jenny Brown, Attorney
Income Statement
for the month ended August

Particulars	Amount \$	Amount \$
<u>Revenues</u>		
Earned revenue		8000
<u>Expenses</u>		
Salaries expense	2500	
Rent expense	900	
Advertising expense	400	
Utilities expense	220	
Total expenses		(4020)
NET INCOME		<u><u>\$3980</u></u>

Jenney Brown, Attorney
Owner's Equity
for the month ended in August

Particulars	Amount \$	Amount \$
J. Brown Capital July 1		0
<u>Add</u>		
Investments	8800	
Net Income	3980	
		12780
<u>Less</u>		
J. Brown Drawings	700	
		(700)
J. Brown Capital		<u>12,080</u>

J. Brown Attorney
Balance Sheet
August 31

Particulars	Amount \$	Amount \$
<u>Assets</u>		
Cash	3000	
Accounts Receivable	5300	
Supplies	500	
Equipment	8000	
		<u>16800</u>
<u>Liabilities and Owners Equity</u>		
<u>Liability</u>		
Notes Payable	1500	
Accounts Payable	3220	
Total Liabilities		4720
<u>Owners Equity</u>		
J. Brown Capital		12080
Total Liabilities & Owners Equity		<u>16,800</u>

P1-5B

(a) $\text{Assets} = \text{Liabilities} + \text{Owner's Equity}$

$$\Rightarrow \text{Owner's equity} = \$80,000 - \$48,000 \\ = \$32,000$$

(b) $\text{Assets} = \$60,000 + \$40,000 \\ = \$100,000$

(c) $\text{Ending capital} = \text{Beginning Capital} + \text{Investment} \\ + \text{Net Income} - \text{Drawings}$

$$\Rightarrow \text{Additional Investment} = 40,000 - 32,000 - 17,000 \\ + 15,000 \\ = \$6,000$$

(d) $\text{Liabilities} = 90,000 - 40,000 \\ = \$50,000$

(e) $\text{Owner's equity} = 1,12,000 - 72,000 \\ = \$40,000$

(f) $D = (40,000 - 40,000 - 8,000 - 25,000) \\ = \$33,000$

$$(g) \text{ Assets} = 80,000 + 49,000 \\ = \$1,29,000$$

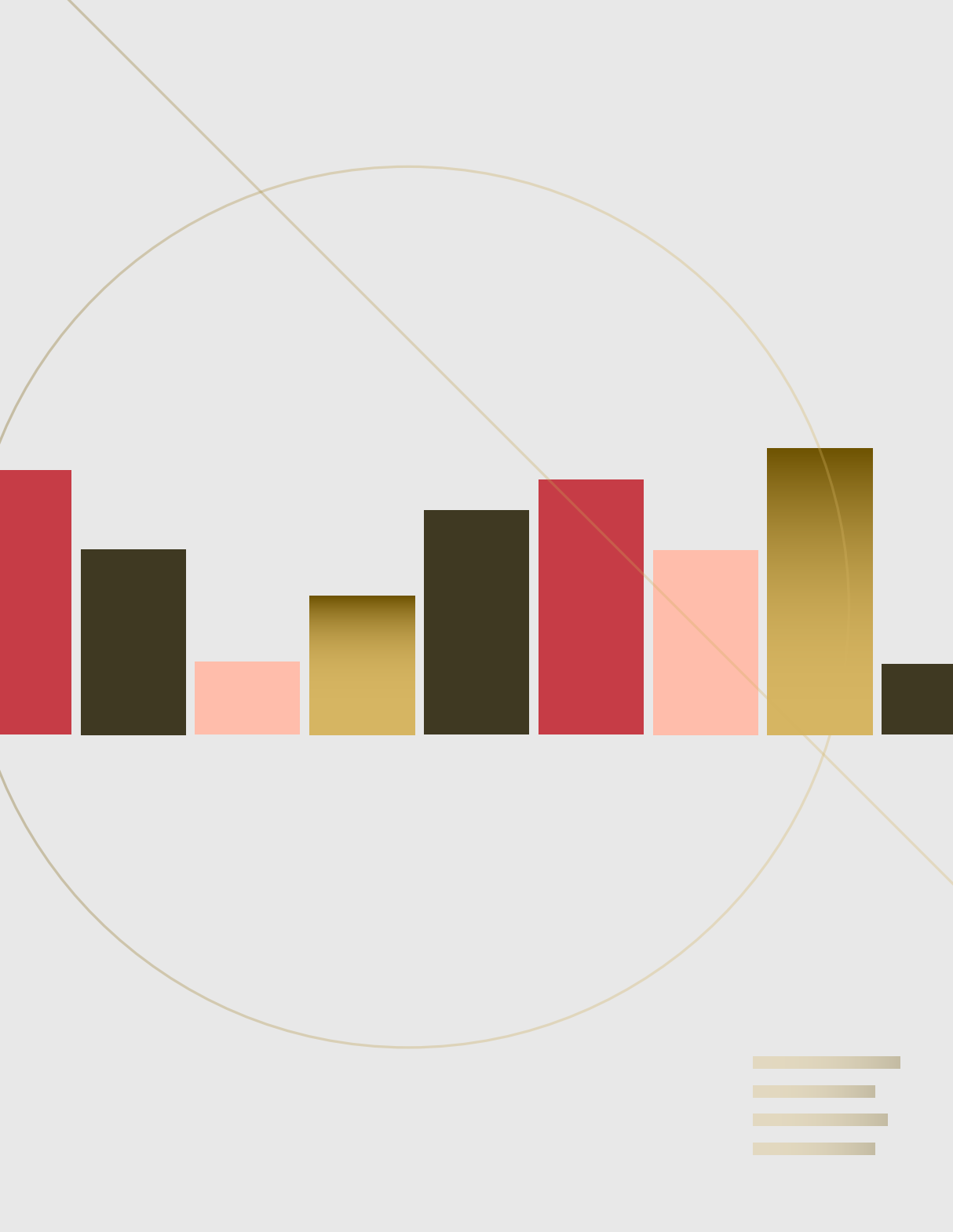
$$(h) \text{ Liabilities} = 1,80,000 - 70,000 \\ = \$1,10,000$$

$$(i) \text{ TR} = 70,000 - 49,000 - 10,000 + 12,000 \\ + 3,50,000 \\ = \$3,73,000$$

$$(j) \text{ Liabilities} = 1,50,000 - 90,000 \\ = \$60,000$$

$$(k) \text{ Assets} = 1,00,000 + 1,45,000 \\ = \$2,45,000$$

$$(l) \text{ TE} = (1,45,000 - 90,000 - 15,000 + 10,000 \\ - 5,00,000) \\ = \$4,50,000$$



Luca Pacioli

Double Entry System

1494

"Summa de arithmetica, geometria,
proportioni et proportionalitate"

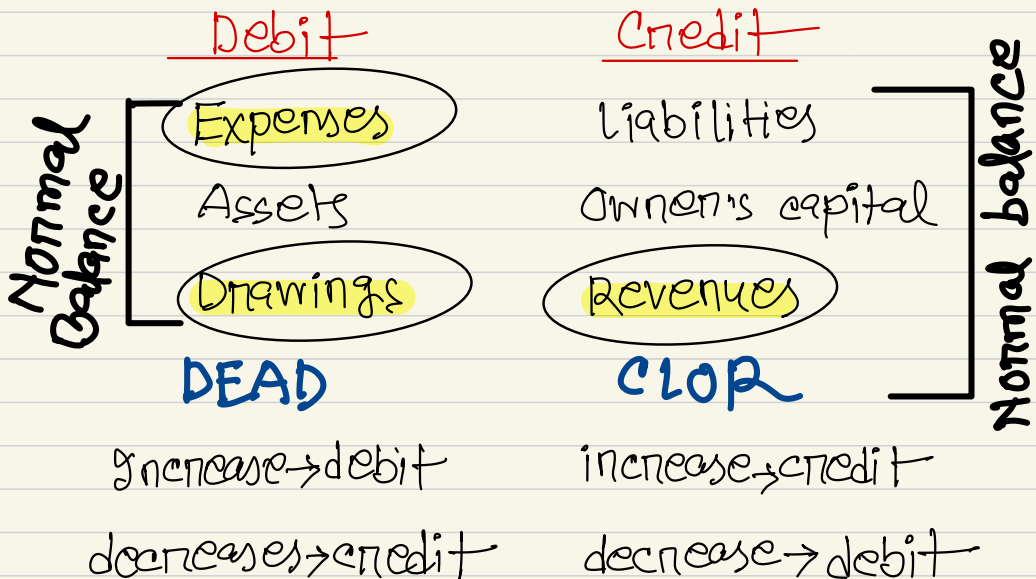
Chapter 2

- What is double entry system?

Each transaction must affect **two or more accounts** to keep the basic equation in balance.

In each equation, **debits must equal credits** in their accounts.

The equality of credit and debit provides the basis for the double entry system of recording transactions.

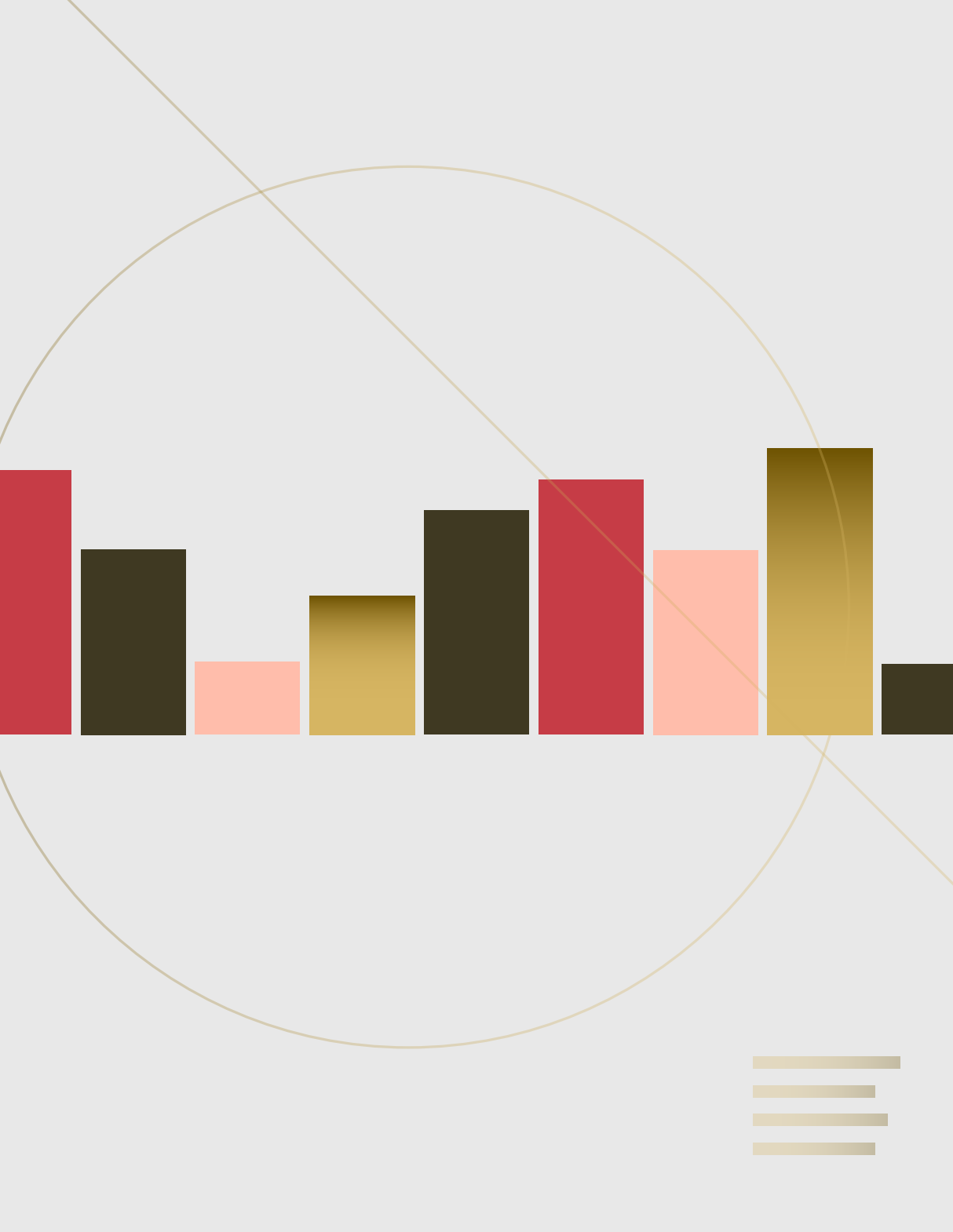


never decrease

Debit → Dr.
Credit → Cr.

Date	Account title	#	Debit \$	Credit \$
2021				
May 1	Furniture Dr. Cash Cr.		10,000	10,000
May 3	Cash Dr. Owner's capital Cr.		30,000	30,000
May 4	Accounts receivable Dr. Service revenue Cr.		3000	3000
May 5	Cash Dr. Accounts receivable Cr.		3,000	3,000
May 6	Accounts payable Dr. Cash Cr.		10,000	10,000
May 7	Salaries expense Dr. Cash Cr.		5,000	5,000
May 8	Owner's Drawing Dr. Cash Cr.		1,000	1,000

- More than 1 account affected
Compound Entry
- When there is no transaction we write,
No transaction
- In ledger, we need to add,
balance in each transaction
- Chart of Accounts
The list of accounts that are used
- Trial balance
All the transactions are summarized



B, C
P2.1A.2A

Journal

Date	Account title	Ref	Debit \$	Credit \$
2010 Sept 1	Cash Dr. B. Sample Cr. capital		20,000	20,000
Sept 2	Cash Cr. Stone rent Dr.		1000	1000
Sept 3	laundry Equipment Dr. Cash Cr. Note payable Cr.		25,000	10,000 15,000
Sept 4	Cash Cr. Prepaid Insurance Dr.		1200	1200
Sept 10	Advertising expense Dr. Accounts payable Cr.		200	200
Sept 20	B. Sample drawing Dr. Cash Cr.		700	700
Sept 30	Cash Dr. Service revenue Cr.		6200	6200

DEAD
P

CLOP
C

General Ledger

Cash

Date	Explanation	Ref.	Debit \$	Credit \$	Balance \$
2010 Sept 1			20,000		20,000
2				1000	19,000
3				10,000	9000
4				1200	7800
20				700	7100
30			6,200		13,300

Prepaid Insurance

Date	Explanation	Ref.	Debit \$	Credit \$	Balance \$
2010 Sept 4			1200		1200

Laundry equipment

Date	Explanation	Ref.	Debit \$	Credit \$	Balance \$
2010 Sept 3			25,000		25,000

Advertising expense

Date	Explanation	Ref.	Debit \$	Credit \$	Balance \$
2010 Sept 10			200		200

Bob Sample, Drawing

Date	Explanation	Ref.	Debit \$	Credit \$	Balance \$
2010 Sept 20			700		700

Bob Sample, Capital

Date	Explanation	Ref.	Debit \$	Credit \$	Balance \$
2010 Sept 1				20,000	20,000

Account Payable

Date	Explanation	Ref.	Debit \$	Credit \$	Balance \$
2010 Sept 10				200	200

Notes Payable

Date	Explanation	Ref.	Debit \$	Credit \$	Balance \$
2010 Sept. 3				15,000	15,000

Service Revenue

Date	Explanation	Ref.	Debit \$	Credit \$	Balance \$
2010 Sept 30				6200	6200

Rent Expense

Date	Explanation	Ref.	Debit \$	Credit \$	Balance \$
2010 Sept 2			1000		1000

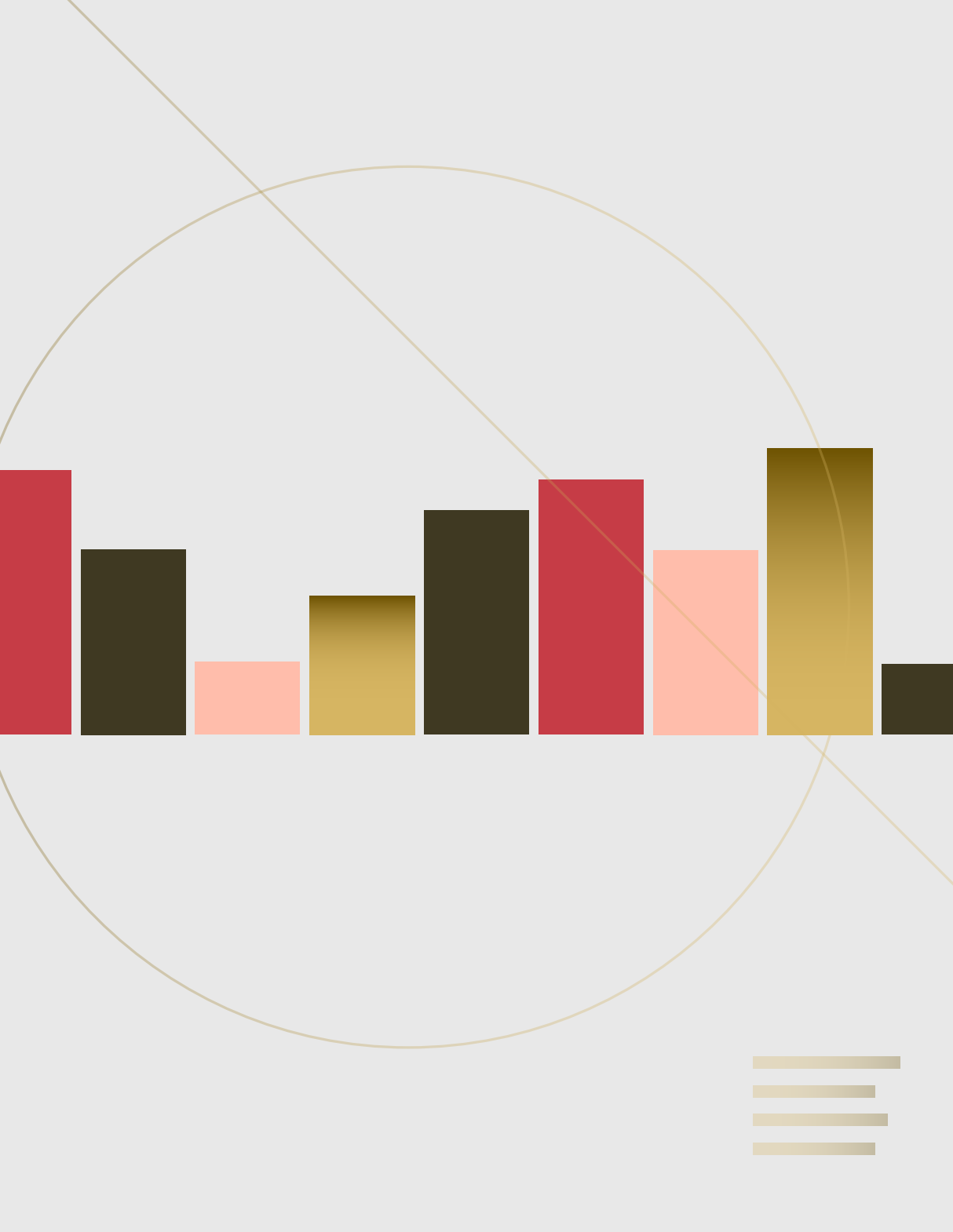
Campus Laundromat
Trial Balance
Sept 30, 2010

Account title	Debit \$	Credit \$
Cash	13,300	
Prepaid Insurance	1200	
Laundry Equipment	25,000	
Notes payable		15,000
Accounts payable		200
B. Sample, Capital		20,000
B. Sample, Drawing	700	
Service revenue		6200
Advertising expense	200	
Rent expense	1400	
	<u>\$44,400</u>	<u>\$44,400</u>

P2-2A

General Journal

Date	Account title	Ref.	Debit \$	Credit \$
May 1	Cash Dr. J. Kent Capital Cr.		\$25,000	\$25,000
2	No transaction			
3	Supplies Dr. Accounts Payable Cr.		2500	2500
7	Rent expense Dr. Cash Cr.		900	900
11	Cash Dr. Services revenue Cr.		2100	2100
12	Cash Dr. Unearned revenue Cr.		3500	3500
17	Cash Dr. Services revenue Cr.		1200	1200
31	Salaries expense Dr. Cash Cr.		2000	2000
31	Accounts Payable Dr. Cash Cr.		1000	1000



General Journal

Date	Account title	Ref.	Debit \$	Credit \$
Apr 1	Cash Dr. M. Juarez Cr. capital		40000	40,000
Apr 1	No transaction			
Apr 2	Rent expense Dr. Cash Cr.		1000	1000
Apr 3	Dental supplies Dr. Accounts Cr. payable		4000	4000
Apr 10	Accounts receivable Dr. Services Cr. revenue		5100	5100
Apr 11	Cash Dr. Unearned Cr. revenue		1000	1000
Apr 20	Cash Dr. Services Cr. revenue		2100	2100
Apr 30	Salaries expense Dr. Cash Cr.		2400	2400
Apr 30	Accounts payable Dr. Cash Cr.		1600	1600

Cash

Date	Explanation	Ref.	Debit \$	Credit \$	Balance \$
Apr 1			40000		40000
2				1000	39000
11			1000		40000
20			2100		42100
30			2400		39700
30				1600	38100

Maria Juarez, Capital

Date	Explanation	Ref.	Debit \$	Credit \$	Balance \$

H.W P2-1B

Chapter 3

Adjusting Accounts

→ Accrual-basis accounting

- Recognizing revenue when earned
- " expense when incurred

Cash-basis account

- Record revenue when cash is earned
- " expense " " is given

→ Doesn't follow **GAP**

↓
Generally Accepted Accounting Principle

IAS International accounting standard

BAS Bangladesh " "

Revenue recognition principle

- Providing the service or selling the product
- Considered to be earned when revenue is performed

Matching Principle

- "Let expenses follow the revenue"
- Record related expense to the revenue in the same accounting period.

"Efforts should be matched with accomplishments" (matching principle)

Efforts → Expenses

Accomplishment → Revenue

Types of adjusting entries

Deferrals

- i) Prepaid expenses
- ii) Unearned revenue

Accruals

- i) Accrued revenue

services provided, cash isn't received

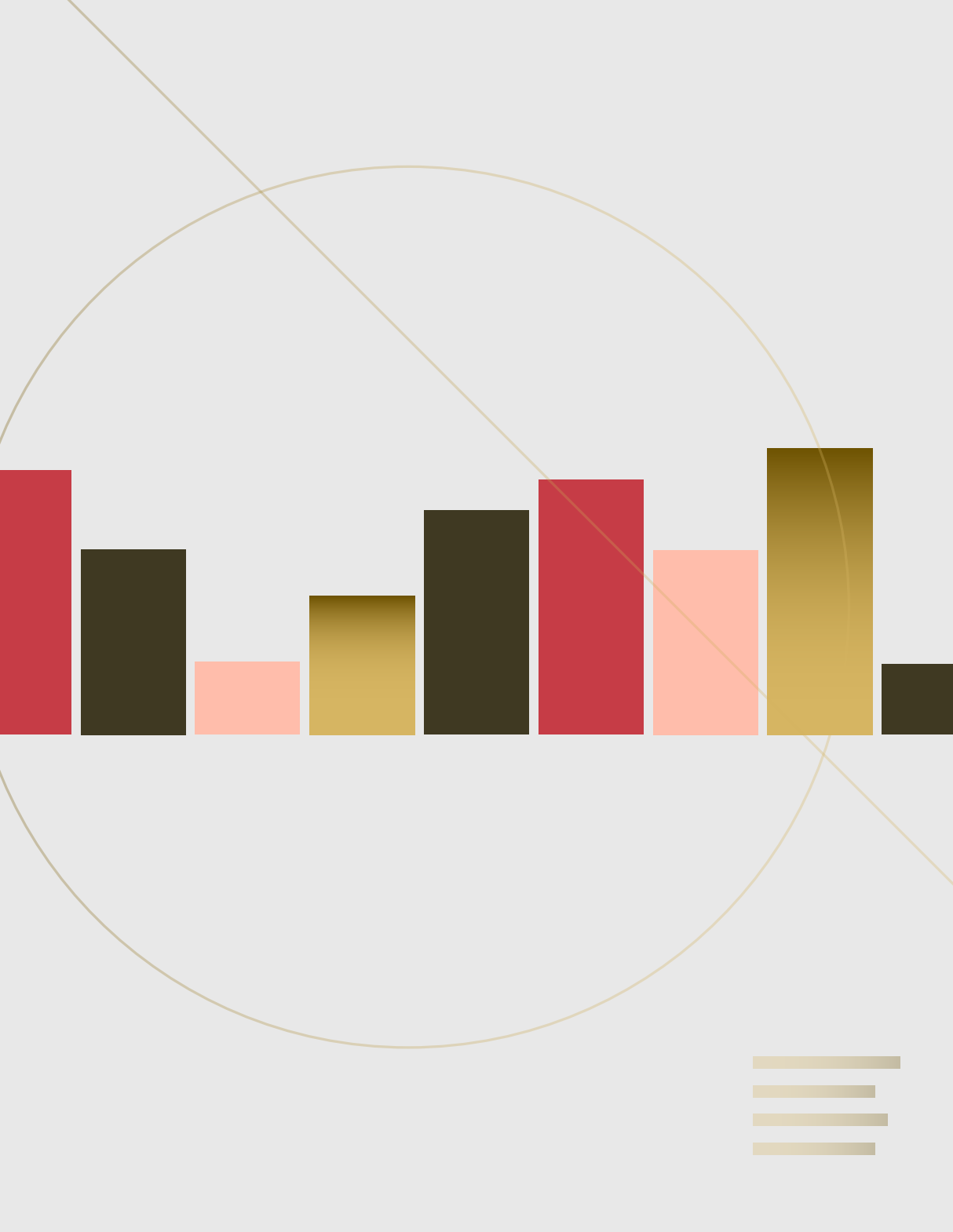
- ii) Accrued expense

expense incurred but cash isn't paid

P2-10

General Journal

Date	Accounts Title	Ref	Debit \$	Credit \$
May 1	Cash Dr B. Schultz, capital Cr		20,000	20,000
3	Land expense Dr Shed expense Dr Equipment Dr Cash Cr		12,000 2,000 1,000	15,000
5	Advertising expense Dr Cash Cr		700	700
6	Prepaid insurance Dr Cash Cr		600	600
10	Equipment Dr Accounts payable Cr		1,050	1,050
18	Cash Dr. Golf revenue Cr		340	340
19	Cash Dr. Unearned revenue Cr.		1,000	1,000
25	B. Schultz Drawing Dr. Cash Cr.		200	200
30	Salaries expense Dr Cash Cr		250	250
30	Accounts payable Dr. Cash Cr.		1,050	1,050
30	Cash Dr. Golf revenue Cr.		200	200



- Supplies

paper, envelopes, printer cartridges

Supplies	Dn.	5000	
Cash	Cr.		5000

Adjusting
entry

Supplies expense	Dn.	3000	
Supplies	Cr.		3000

→ used \$3000 worth of supplies

- Insurance

1 year in advance payment

Jan 1	Prepaid Insurance	Dn.	600	
	Cash	Cr.		600

Jan 31	Insurance expense	Dn.	50	
	Prepaid insurance	Cr.		50

→ each month the expense is incurred

- Depreciation

- Asset value decreases over time
- Allocation of the cost of fixed over the useful life of the asset

Furniture \$10,000
Useful life 10 years

$$\text{Depreciation} = \frac{10,000}{10} = 1000$$

contra asset

	<u>Depreciation</u>	<u>Accumulative Depreciation</u>
1st year	1000	1000
2nd "	1000	2000
3rd "	1000	3000

After 3rd year, sold the furniture for \$80,000

After 3rd year

Furniture:

Cost	10,000
Less: Acc. Dep.	3000
Book value / Carrying value	7000

$$\text{Gain} = 8,000 - 7,000$$

$$= 1,000$$

Contra Asset Normal balance Cr.

Depreciation " " Dr

Adjusting entry

Jan 1
year

Depreciation expense Dr. 1,000

Accumulative depreciation Cr. 1,000
- Furniture

• Salvage value

After the end of useful life, some value is left

Jan 1

Cash Dr. 3000
Unearned revenue Cr. 3000

↳ of which
\$1200 is
unearned

Adjusting
entry

Unearned revenue Dr. \$1800
Service revenue Cr. \$1800

Adjusting entries

Date	Account title	Adj.	Debit \$	Credit \$
2010 Mar. 31	Insurance expense Dr. Prepaid Insurance Cr.		100	100
Mar 31	Supplies expense Dr. Supplies Cr.		2,000	2,000
Mar 31	Depreciation expense Dr. Accumulative depreciation Cr. — office equipment		200	200
Mar 31	Unearned revenue Dr. Service revenue Cr.		4,600	4,600

Any rate $\rightarrow$ Annual rate

Face value $\times$ Interest $\times$ Time in terms
of one year

$$5000 \times 12\% \times \frac{1}{12} = 50$$

Adjusting entry

Interest expense Dr. 50
Interest payable Cr. 50

→ For the 3 week-days at the end of the month

Salaries expense Dr. 1200
" payable Cr. 1200

Salaries payable Dr. 1200
" expense Dr. 2800
Cash Cr. 4000

Code	Accounts title	Ref.	Debit \$	Credit \$
Aug 31	Salaries expense Dr. Salaries payable Cr.		800	800
Aug 31	Interest expense " payable		250	250
Aug 31	Account receivable Dr. Service " Cr.		1,100	1,100

Unrecorded → cash not received yet

Account receivable

Comprehensive Do it

$P3-1A (a, c)$

P3-2A (a,c)

[illegible]

Comprehensive Do g+

Date	Accounts title	Ref	Debit \$	Credit \$
Apr 30	Insurance expense Dr. Prepaid Insurance Cr.		150	150
30	Depreciation expense Dr. Accumulative depreciation Cr. - Equipment		500	500
30	Interest expense Dr. Interest payable Cr.		200	200
30	Unearned revenue Dr. Service revenue Cr.		700	700
30	Account Receivable Dr. Service revenue Cr.		1,500	1,500

P3-1A (a)

Date	Account title	Ref	Debit \$	Credit \$
2010	supplies expense Dr.		1400	
June 30	Supplies Cr.			1400
	Utilities expense Dr.		150	
30	Utilities payable Cr.			150
30	Salaries expense		2000	
	Salaries payabl			2000
30	Insurance expense Dr.		250	
	Prepaid Insurance Cr.			250
30	Unearned revenue Dr.		2500	
	Service revenue Cr.			2500
30	Depreciation expense Dr.		250	
	Accumulative depreciation Cr.			250
	Equipment			
30	Account receivable Dr.		1000	
	Service revenue Cr.			1000

(c)

Masai Company

Adjusted trial balance

June 30, 2010

Account title	Debit \$	Credit \$
Cash	7150	
Accounts receivable	7000	
Supplies	600	
Prepaid Insurance	2750	
Office equipment	15,000	
Accumulative Depreciation- Office equipment		250
Accounts Payable		4500
Unearned service rev.		1500
Salaries payable		2000
Utilities payable		150
T. Masai Capital		21,750
Service revenue		11,400
Supplies expense	1400	
Depreciation expense	250	
Insurance expense	250	
Salaries expense	6000	
Utilities expense	1000	
Rent expense	150	
	<u>\$41550</u>	<u>\$41550</u>

p3-2A(a)

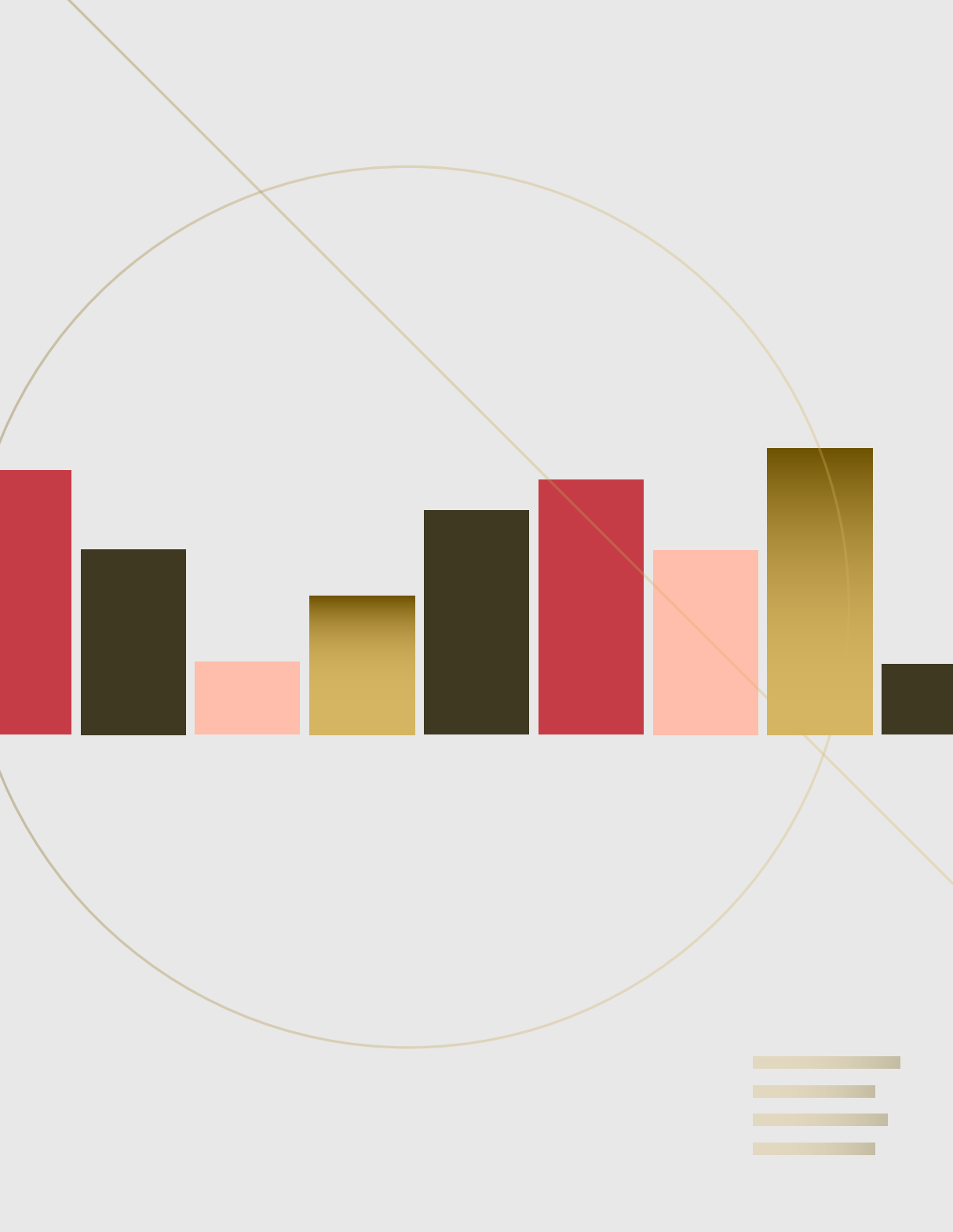
Date	Account title	Adj	Debit \$	Credit \$
Aug 31	Insurance expense Dr. Prepaid Insurance Cr.		1200	1200
31	Supplies expense Dr. Supplies Cr.		2700	2700
31	Depreciation expense Cottages Dr. Accumulative Depreciation- Cottages Cr.		4500	4500
31	Depreciation expense Furniture Dr. Accumulative Depreciation- Furniture Cr.		600	600
31	Unearned rent revenue Dr. Rent revenue Cr.		4100	4100
31	Salaries expense Dr. Salaries payable Cr.		400	400
31	Accounts receivable Dr. Rent revenue Cr.		1000	1000
31	Interest expense Interest payable		600	600

(c)

Neosho River Resort

Adjusted trial balance
August 31, 2010

Account title	Debit \$	Credit \$
Cash	19,000	
Accounts Receivable	1,000	
Supplies	600	
Prepaid Insurance	4,800	
Land	25,000	
Cottages	125,000	
Accumulative Depreciation Cottages		1,500
Furniture	26,000	
Accumulative Depreciation Furniture		600
Accounts payable		6,500
Unearned Rent Revenue		3,300
Salaries payable		400
Interest payable		600
P. Handen, Capital		80,000
P. Handen, Drawing	5,100	100,000
Rent Revenue		85,100
Depreciation expense Cottages	1,500	
Depreciation expense Furniture	600	
Repair expense	3,600	
Supplies expense	2,700	
Interest expense	600	
Insurance expense	1,200	
Salaries expense	51,400	
Utilities expense	9,400	
	<u><u>\$2,78,000</u></u>	<u><u>\$2,78,000</u></u>



Date	Account title	Ref	Debit \$	Credit \$
May 31	Supplies expense Dr. Supplies Cr.		900	900
31	Travel expense Dr. Travel payable Cr.		250	250
31	Insurance expense Dr. Prepaid insurance Cr.		150	150
31	Unearned revenue Dr. Service revenue Cr.		1600	1600
31	Salaries expense Dr. Salaries payable Cr.		960	960
31	Depreciation expense Dr. Accumulative depreciation- Cr. Furniture		170	170
31	Account receivable Dr. Service revenue Cr.		1200	1200

Supplies → 1900

Insurance → 3600

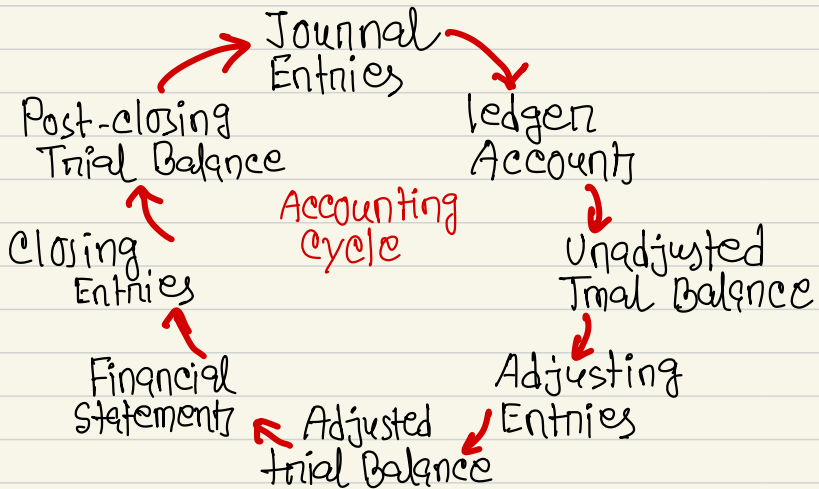
Furniture → 10,200

Account title	Debit \$	Credit \$
Cash	5700	
Accounts receivable	7000	
Supplies	1000	
Prepaid Insurance	3450	
Office furniture	10,200	
Accumulative Depreciation- Furniture		170
Accounts Payable		4500
Unearned service rev.		400
Salaries payable		960
Travels payable		250
K. Ham Capital		17,700
Service revenue		10,300
Supplies expense	960	
Travels expense	250	
Insurance expense	150	
Salaries expense	4360	
Depreciation expense	170	
	<u>\$ 34,280</u>	<u>\$ 34,280</u>

H.W

p3-23

Chapter 4



Temporary → Revenue, expenses, drawing
Don't transfer the next year

Permanent → Assets, Liability, equity

Income summary → Cr.

Service revenue	10,000	} 4 closing entries
Salaries expense	2,000	
Rent "	1,000	
Drawing "	500	

Closing Entries

Service revenue	Dr.	10,000	
Income summary	Cr.		10,000

Income Summary	Dr.	3,000	
Salaries expense	Cr.		2,000
Rent expense	Cr.		1,000

To close Net Income	↕	Income summary	Dr.	7,000	
		K.Ham Capital	Cr.		7,000
		K.Ham Capital	Dr.	500	
		K.Ham Drawings	Dr.		500

Income Summary	→	Cr.	10,000
		Dr.	3,000
		Cr.	7,000
Net Income			

Closing entries

1. Revenue → Income summary
2. Expense → "
3. Income summary → Owners capital
4. Drawings → "

→ After every closing entry we need to close accounts title

when Net Income/Net loss is given
2 entries

P3-2B (a)

Date	Account title	Ref	Debit \$	Credit \$
May 31	Insurance expense Dr. Prepaid Insurance Cr.		190	190
31	Supplies expense Dr. Supplies Cr.		1450	1450
31	Depreciation expense Dr. Accumulative depreciation Cr. Lodge		250	250
31	Interest expense Dr. Interest payable Cr.		350	350
31	Unearned rent Dr. Rent revenue Cr.		2200	2200
31	Salaries expense Dr. Salaries payable Cr.		750	750

(c)

Mound View Hotel
Adjusted Trial Balance
May 31, 2010

Account title	Debit \$	Credit \$
Cash	3500	
Supplies	750	
Prepaid Insurance	1090	
Land	12,000	
Lodge	60,000	
Accumulated Depreciation Lodge		250
Furniture	15,000	
Accumulated Depreciation- Furniture		225
Accounts Payable		4800
Unearned rent revenue		1100
Salaries payable		750
Interest payable		350
Mortgage payable		35,000
K. Henry Capital		46,380
Rent Revenue		12,500
Advertising expense	600	
Depreciation expense-lodge	250	
Depreciation expense-furniture	225	
Supplies expense	1450	
Interest expense	350	
Insurance expense	190	
Salaries expense	4050	
Utilities expense	900	
	\$101,355	\$101,355

(d)

Mound View Hotel
Income Statement
for the month ended in May 31, 2010

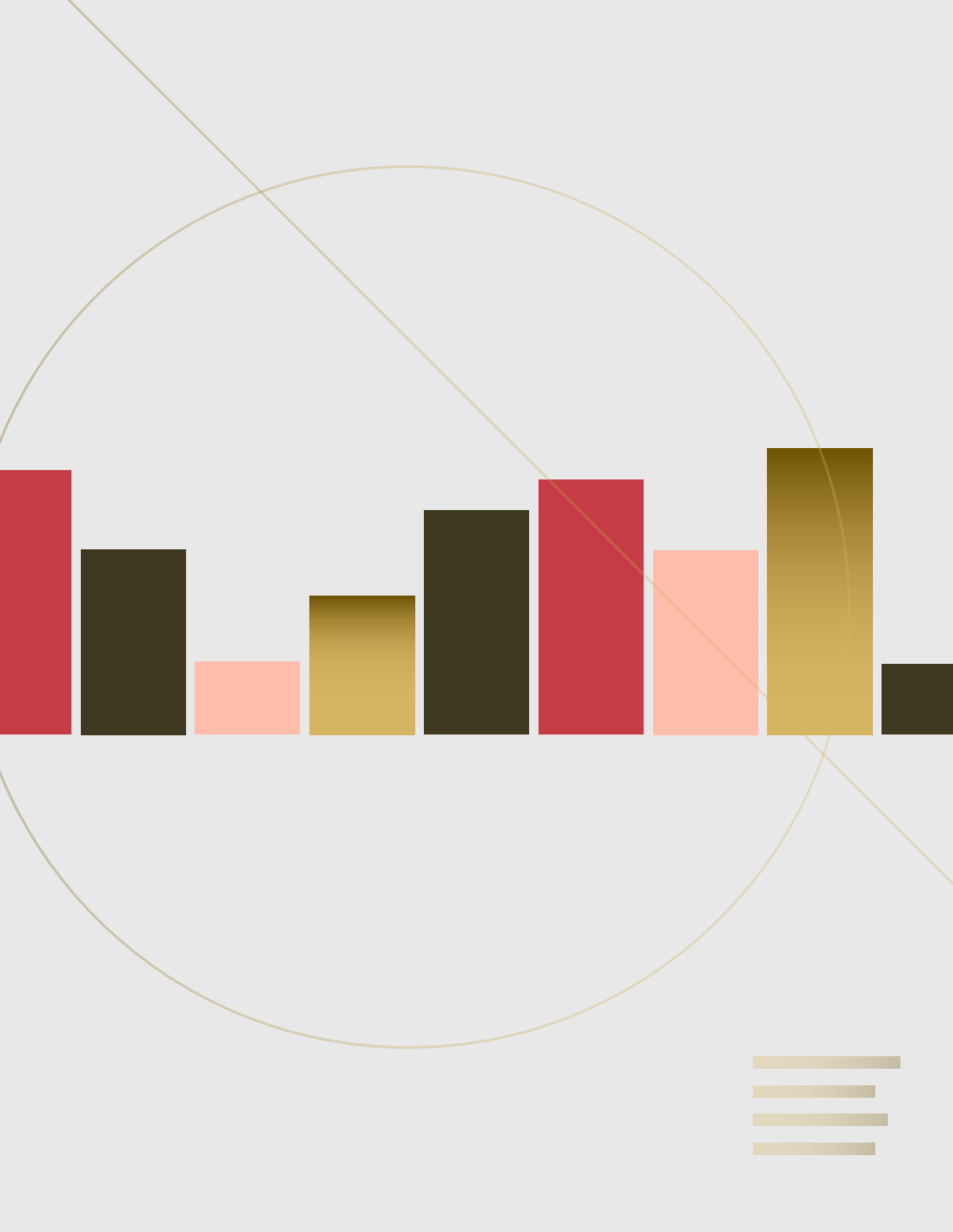
Particulars	Amount \$	Amount \$
<u>Revenues</u>		
Rent Revenue		12,500
<u>Expenses</u>		
Advertising expense	600	
Depreciation expense-lodge	250	
Depreciation expense-Furniture	225	
Supplies expense	1450	
Insurance expense	190	
Salaries expense	4050	
Utilities expense	900	
Interest expense	350	
Total expenses		8015
NET INCOME		4,485

Mound View Hotel
 Owner's Equity
 for the month ended in May 31, 2010

Particulars	Amount \$	Amount \$
K. Henry Capital, May 1		0
<u>Add</u>		
Investments	46,380	
Net Income	4485	
K. Henry Capital, May 31		\$50,865

Mound View Hotel
Balance Sheet
May 31, 2010

Accounts	Amount \$	Amount \$
<u>Assets</u>		
Cash	3500	
Supplies	750	
Prepaid Insurance	2090	
Land	12000	
Lodge	60,000	
<u>Less</u> Accumulated Depreciation-Lodge	250	
Furniture	15,000	
<u>Less</u> Accumulated Depreciation-Furniture	225	
Total assets		\$92,865
<u>Liabilities and Owners' Equity</u>		
<u>Liabilities</u>		
Accounts payable	4800	
Mortgage payable	35,000	
Unearned rent	1,100	
Salaries payable	750	
Interest payable	350	
Total liabilities		42,000
<u>Owners' Equity</u>		
K. Henry, Capital		50,865
Total liabilities and Owners' Equity		\$92,865



Temporary
Closed

All revenue accounts
All expense accounts
Owners drawing account

Permanent
Not closed

All asset accounts
All liability accounts
Owners capital account

Closing entries

Date	Accounts title	Ref	Debit \$	Credit \$
2010 June 30	Service revenue Dr. Income summary Cr.		4064	4064
30	Income summary Dr. Salaries expense Cr. Miscellaneous expense Cr. Supplies expense Cr.		3828	1344 256 2228
30	Income summary Dr. E. Skoda capital Cr.		236	236
30	E. Skoda Capital Dr. E. Skoda Drawings Cr.		300	300

H.W

E4-8 (a)

DO IT → 4-2 (only closing)

DO IT 4-2

Date	Account title	Ref.	Debit \$	Credit \$
Dec 31	Income summary Dr. J.Q. Adams Capital Cr.		29,000	29,000
31	J.Q. Adams Capital Dr. J.Q. Adams Drawing Cr.		22,000	22,000

E4-8

Date	Accounts title	Ref.	Debit \$	Credit \$
2010	Commission revenue Dr.		65,000	
July 31	Rent revenue Dr. Income summary Cr.		6,500	71,500
31	Income summary Dr. Salaries expense Cr. Utilities expense Cr. Depreciation expense Cr.		74,600	55,700 14,900 4,000
31	B.J. Apacchi Capital Dr. B.J. Apacchi Drawing Cr.		16,000	16,000
31	B.J. Apacchi Capital Dr. Income summary Cr.		3,100	3,100

7

Worksheet

- Not a permanent accounting record

Chapter 18

- 3 characteristics to analyze financial statement
 - 1) Liquidity (cash - most liquid)
 - 2) Profitability
 - 3) Solvency (surviving over the long term)

More liquidity

Easier to pay off debt

safety → Determined by liquidity

Bond: Long term liability

↳

↘

Interest payments

Bond holder

Stockholders

→ Profitability, Solvency

↳

Dividends

i) Intracompany basis

Current balance vs
Last year balance

ii) Industry averages

Company ratio vs Industry average

iii) Intercompany basis

My company vs Other companies
Same industry

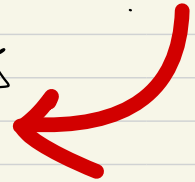
Tools of analysis

i) Horizontal → current vs previous

ii) Vertical → Companies with base amount

Balance sheet → Total assets

Income Statement → Net sales



iii) Ratio

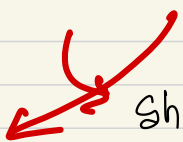
Ratios

- i) Liquidity (unexpected/emergency need)
- ii) Profitability (income/operating success)
- iii) Solvency (surviving long period)

$$\text{Current ratio} = \frac{\text{Current assets}}{\text{current liabilities}}$$

$$\text{Acid-test Ratio} = \frac{\text{Cash} + \text{Short term receivables} + \text{investment}}{\text{Liability}}$$

$$\text{Received Turnover} = \frac{\text{Net Credit Sales}}{\text{Average Net Receivable}}$$


 should be calculated for
 current + previous year
 calculated
 in times

$$\text{Inventory Turnover} = \frac{\text{Cost of goods sold}}{\text{Average Inventory}}$$

Beginning
 1000

Purchased
 500

1500 → cost of goods
 available for sale

Ending
 900

600 → cost of goods
 sold

If no data of credit sales,

net sales = net credit sales

$$\text{Return on Assets} = \frac{\text{Net Income}}{\text{Average assets}}$$

9, 10, 13 → not included **X**

E18-11

$$1) \quad \text{Current ratio} = \frac{\text{Current assets}}{\text{current liabilities}}$$

$$= \frac{4300 + 21200 + 10,000}{12370}$$

$$= 2.87:1$$

$$11) \quad \text{Acid-Test Ratio} = \frac{4300 + 0 + 21200}{12370}$$

$$= 2.06:1$$

$$\begin{aligned} \text{iii) Received Turnover} &= \frac{1,00,000}{\frac{21200 + 23100}{2}} \\ &= 4.48 \text{ turns} \end{aligned}$$

H.W [d-i]

E18-10

E18-2

E18-1

[illegible]

E18-1

Blevins Inc
Condensed Balance sheets
December 31

	2010	2011	Increase or decrease	
			Amount	Percent
Assets				
Current assets	1,25,000	1,00,000	25,000	25%
Plant assets	3,96,000	3,30,000	66,000	20.2%
Total assets	<u>5,21,000</u>	<u>4,30,000</u>	<u>91,000</u>	21.2%
Liabilities				
Current liabilities	91,000	70,000	21,000	30%
Long term liabilities	1,33,000	95,000	38,000	40%
Total liabilities	2,24,000	1,65,000	59,000	35.8%
Stockholders' equity				
Common Stock, \$1 par	1,66,000	1,15,000	46,000	40.0%
Retained earnings	1,36,000	150,000	14,000	9.3%
Total Stockholders' equity	2,97,000	2,65,000	32,000	12.1%
Total liabilities and Stockholders' equity	<u>5,21,000</u>	<u>4,30,000</u>	<u>91,000</u>	21.2%

E18-2

Gallup Corporation

Condensed Income Statement
For the year ended in December 31

	2011		2010	
	Amount	Percent	Amount	Percent
Sales	7,500,000	100%	6,000,000	100%
Cost of goods sold	4,650,000	62%	3,900,000	65%
Gross profit	2,850,000	38%	2,100,000	35%
Selling expenses	1,200,000	16%	720,000	12%
Administrative expenses	600,000	8%	540,000	9%
Total operating expenses	1,800,000	24%	1,260,000	21%
Income before Income Taxes	1,050,000	14%	840,000	14%
Income Tax Expense	330,000	4.4%	240,000	4%
Net Income	<u>720,000</u>	<u>9.6%</u>	<u>600,000</u>	<u>10%</u>

E18-10

$$a) \text{ Inventory Turnover} = 3.5 = \frac{\text{Cost of goods sold}}{\left[\frac{2,00,000 + 1,80,000}{2} \right]}$$

$$\Rightarrow \text{Cost of Goods sold} = \$6,65,000$$

$$b) \text{ Receivable turnover} = 8.8 = \frac{\text{Net sales (Credit)}}{\left[\frac{72,000 + 1,26,000}{2} \right]}$$

$$\Rightarrow \text{Net Sales Credit} = \$8,73,400$$

$$c) \text{ Return on common stockholders' Equity} = 24\% =$$

$$\frac{\text{Net Income}}{\left[\frac{400,000 + 1,13,000 + 400,000 + 101,000}{2} \right]}$$

$$\Rightarrow \text{Net Income} = \$1,21,740$$

$$d) \text{ Return on assets} = 20\% = \frac{1,21,740}{\text{Average Assets}}$$

$$\Rightarrow \text{Average Assets} = 6,08,700$$

$$\frac{\text{Total Assets} + 6,05,000}{2} = 6,08,700$$

$$\Rightarrow \text{Total assets} = \$6,12,400$$

E18-11

$$\begin{aligned} \text{d) Inventory turnover} &= \frac{60,000}{\left[\frac{10,000 + 7,000}{2} \right]} \\ &= 7.06 \text{ times} \end{aligned}$$

$$\text{e) Profit margin} = \frac{15,000}{100,000} = 15\%$$

$$\begin{aligned} \text{f) Asset turnover} &= \frac{100,000}{\left[\frac{1,10,500 + 1,20,100}{2} \right]} \\ &= 0.87 \end{aligned}$$

$$\begin{aligned} \text{g) Return on assets} &= \frac{15,000}{\left[\frac{1,10,500 + 1,20,100}{2} \right]} \\ &= 13\% \end{aligned}$$

h) Return on common stockholder's Equity =

$$\frac{15,000}{\left[\frac{98,130 + 89,000}{2} \right]} = \underline{\underline{16\%}}$$

i) Debt to total assets ratio = $\frac{12,370}{1,10,500}$
 $= \underline{\underline{11.2\%}}$

Return on Common Stockholders' Equity

$$\text{Return on Common Stockholders' Equity} = \frac{\text{Net Income}}{\text{Average common Stockholders' equity}}$$

$$\text{Retained earnings} = (\text{Net Income}) - \text{Dividends}$$

Owner's equity $\rightarrow$ Common Stock
Retained earnings

$$\frac{15,000}{\frac{78,130 + 89,000}{2}} = 16\%$$

$(75,000 + 23,130)$ $(69,000 + 20,000)$

